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CAN SCRAPPING OLD CARS boost the sales of new ones? The answer, if the government's policy comes good, could be a resounding yes.

India's automobile industry is giving a renewed push to make the government's grand ambition of phasing out old, fuel-inefficient, high-emission cars a reality. Introduced in 2021 by Prime Minister Narendra Modi, the Voluntary Vehicle Fleet Modernisation Program (VVMP), or the Vehicle Scrapping Policy in popular parlance, sought to phase out diesel vehicles that are more than 10 years old and petrol vehicles that are 15 years old to reduce air pollution.

The government felt compelled to introduce the policy because even as it has incrementally tightened fuel emission norms—from the Bharat Stage Emission Standards (BSES) introduced in 2000 all the way to BS-VI in 2020 and the stricter BS-VII that is expected next year—cars that adhered to older emission standards and that may not be live up to newer norms continue to ply on India's roads.

Nitin Gadkari, Union Minister of Road Transport and Highways, has said the transport sector accounts for 40% of India's total emissions. If unchecked, this could hinder India's ambitious goal of ensuring net-zero emissions by 2070.

Of course, if successful, the policy may well boost car sales since old cars will need to be replaced after the stipulated time. In the process, it could increase the automobile industry's contribution to GDP, currently pegged at 7%. This push also comes at a very difficult time for the industry with dealers sitting on high inventory levels. In fact, automobile manufacturers anticipate a slump in demand in FY25. According to a report by rating agency CareEdge Ratings, the domestic passenger vehicles industry will grow at 3-5% in FY25, a significant decline from 7.4% in FY24, because of a high base, a shrinking order book, and expectations of subdued demand for entry-level

SWEETENING THE PILL



The central and various state governments have announced a slew of measures to make the scheme a success



Under the policy, the states and Union Territories will provide tax rebate of up to 25% on the purchase of new vehicles after scrapping old ones



Automakers have been asked to offer a discount of up to 3% to buyers who scrap old vehicles



Discount available for owners within six months of scrapping vehicle. Details must be logged on VAHAN portal



Manufacturers may opt to provide extra discounts for scrappage on certain vehicle models in their line-up

variants. In the scrapping policy, the government and the industry believe they have found the means to reverse that trend.

There is, however, a lot more that needs to be done before the scrapping policy can deliver. Though it has been in force for three years now, it has failed to reach the scale the government envisaged, partly because of the dearth of scrapyards and testing centres.

OUT WITH THE OLD

According to the Ministry of Road Transport and Highways (MoRTH), more than 4.5 million old medium and heavy commercial vehicles—including buses and trucks—as well as more than 7.5 million old taxis and cars are currently plying on India's roads. Old vehicles have been identified as diesel vehicles